Financial Accounting: Premium Rapid Revision Guide

Financial Accounting
Rapid Revision Guide

Everything You Need to Know Before Your Exam

Audience	Format	LastMinutePDF
BBA Students	Exam-Ready · Concise	₹29

Accounting foundations

What is accounting?
The process of recording, classifying, summarising, and interpreting financial transactions to enable informed decision-making.
Key branches
Financial Accounting — Records historical transactions; prepares statements for external users
Management Accounting — Internal reports for planning and control
Cost Accounting — Tracks costs of production and operations
Users of accounting information
Internal: Managers, employees
External: Investors, creditors, tax authorities, regulators
Key conventions
Dual Aspect: Every transaction has two effects (debit & credit)
Money Measurement: Only money-measurable transactions are recorded

Key accounting concepts (must-know)
Business Entity — Business is separate from its owner
Going Concern — Business will continue indefinitely
Accrual — Income & expenses recorded when earned/incurred, not when cash moves
Matching — Expenses matched to the revenue they help generate
Consistency — Same methods used year to year
Prudence — Anticipate losses; do not anticipate profits
Materiality — Only significant information needs disclosure
Cost Concept — Assets recorded at historical cost

Assets = Liabilities + Owner's Equity

Expanded: Assets = Liabilities + Capital + Revenue − Expenses − Drawings

Accounting Equation & Double-Entry System

MODERN APPROACH — DEBIT & CREDIT RULES

- Assets — Increase → Dr | Decrease → Cr
- Liabilities — Increase → Cr | Decrease → Dr
- Capital — Increase → Cr | Decrease → Dr
- Revenue — Increase → Cr | Decrease → Dr
- Expenses — Increase → Dr | Decrease → Cr

Every transaction has two sides — a Debit (Dr) on the left and a Credit (Cr) on the right. The equation must always balance.

JOURNAL ENTRY EXAMPLES

T1: Started business with ₹1,00,000 cash
Cash A/c Dr ₹1,00,000
Capital A/c Cr ₹1,00,000

T2: Purchased goods on credit ₹20,000
Purchases A/c Dr ₹20,000
Creditors A/c Cr ₹20,000

T3: Sold goods for cash ₹15,000
Cash A/c Dr ₹15,000
Sales A/c Cr ₹15,000

Journal, Ledger & Trial Balance

Journal — Book of original entry. Transactions recorded chronologically.
Format: Date | Particulars | L.F. | Dr Amount | Cr Amount
e.g. Rent paid ₹5,000 → Rent A/c Dr | Cash A/c Cr

Ledger — Book of final entry. Each account has its own page in T-account format. Transactions are posted from the journal.

Trial Balance — Lists all ledger balances at a point in time.
Total Debits = Total Credits
Purpose: checks arithmetical accuracy of books.

Errors Revealed by Trial Balance

- Error of posting (wrong amount)
- Error of casting (incorrect totalling)
- Error of carrying forward

Errors NOT Revealed by Trial Balance

- Error of omission (transaction fully missed)
- Error of commission (wrong account, same type)
- Error of principle (wrong account type)
- Compensating errors (two errors cancel out)

Suspense Account — Temporary account used when Trial Balance disagrees. Differences posted here until errors are found and corrected.

Final Accounts & Adjustments

1. Trading Account → Gross Profit
Dr: Opening Stock + Purchases − Returns Outward + Direct Expenses
Cr: Sales − Returns Inward + Closing Stock
Gross Profit = Net Sales − Cost of Goods Sold

2. Profit & Loss Account → Net Profit
Dr: Indirect Expenses (Rent, Salaries, Depreciation, Bad Debts)
Cr: Gross Profit + Other Incomes
Net Profit = Gross Profit + Other Income − Indirect Expenses

3. Balance Sheet → Financial Position
Liabilities: Capital + Reserves + Loans + Current Liabilities
Assets: Fixed Assets + Investments + Current Assets
Assets = Liabilities + Capital

Numerical Example
Gross Profit ₹80,000 + Commission ₹3,000 − Salaries ₹20,000 − Rent ₹10,000 − Depreciation ₹5,000

Key Adjustments (Exam Favourites)

Closing Stock
Cr Trading A/c → Current Asset in Balance Sheet

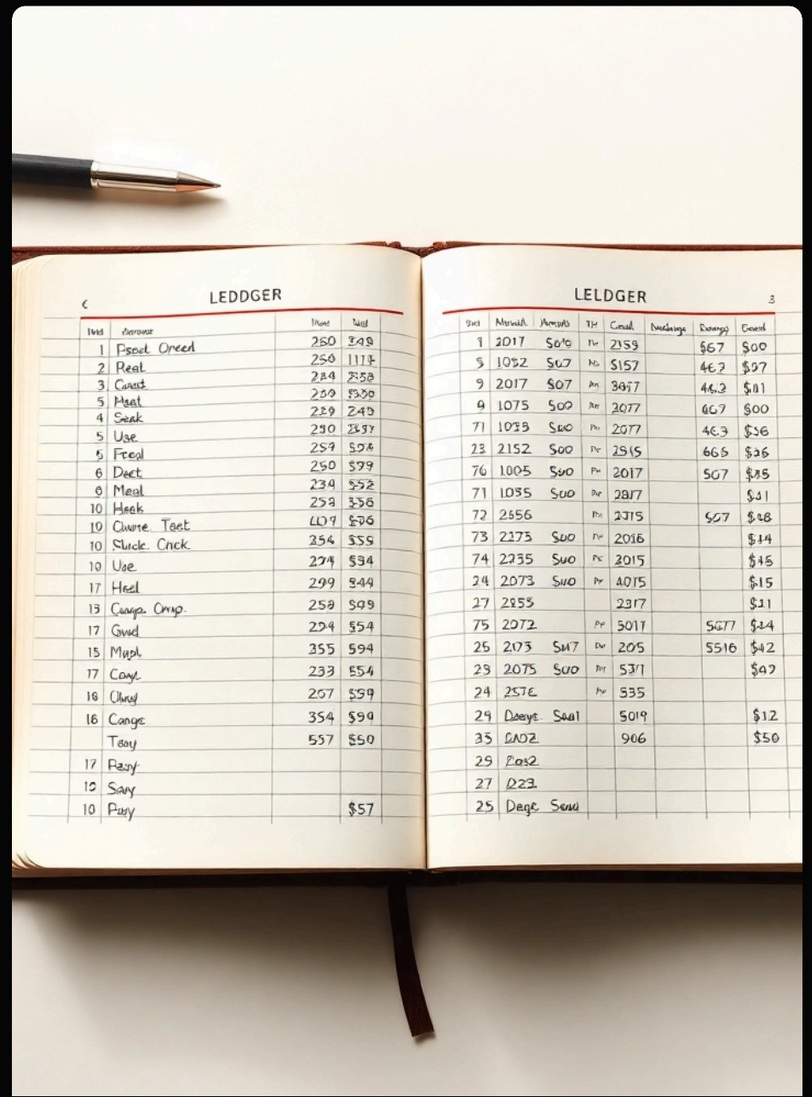
Depreciation
Dr P&L A/c → Deduct from asset in Balance Sheet

Outstanding Expenses
Add to expense in P&L → Current Liability in Balance Sheet

Prepaid Expenses
Deduct from expense in P&L → Current Asset in Balance Sheet

Accrued Income
Add to income in P&L → Current Asset in Balance Sheet

Unearned Income



Depreciation A/c Dr | Accum. Dr | Accum. Dep. A/c Cr

Depreciation charges the asset in

Simplest calculation. Used for printed books. Income Tax Act

Depreciation: SLM vs WDV

Equal depreciation charged every year. Book value reaches scrap value at end of useful life.

Formula:

Annual Dep. = (Cost − Scrap Value) ÷ Useful Life

Example:

Cost ₹1,00,000 | Scrap ₹10,000 | Life 9 yrs

= (1,00,000 − 10,000) ÷ 9 = ₹10,000/yr

Best for: Assets with uniform usage (furniture, buildings)

Higher depreciation in early years, lower in later years. Book value never reaches zero.

Formula:

Dep. = Book Value at Start of Year × Rate (%)

Example @ 20%:

Yr 1: ₹1,00,000 × 20% = ₹20,000 → BV ₹80,000

Yr 2: ₹80,000 × 20% = ₹16,000 → BV ₹64,000

Yr 3: ₹64,000 × 20% = ₹12,800 → BV ₹51,200

Best for: Tech assets; recognised by Income Tax Act

Financial ratios & interpretations

Current Ratio = Current Assets / Current Liabilities

Ideal: 2:1

Quick Ratio = (Current Assets − Stock − Prepaid) / Current Liabilities

Ideal: 1:1

Gross Profit Ratio = GP / Net Sales × 100

Net Profit Ratio = NP / Net Sales × 100

ROCE = Net Profit / Capital Employed × 100

ROE = Net Profit / Shareholders' Equity × 100

Debt-Equity = Long-term Debt / Equity

Ideal: 1:1 or lower

Proprietary = Proprietors' Funds / Total Assets

Interest Coverage = EBIT / Interest

Higher = safer

Inventory Turnover = COGS / Avg Inventory

Debtors Turnover = Net Credit Sales / Avg Debtors

Creditors Turnover = Net Credit Purchases / Avg Creditors

Working Capital = Net Sales / Working Capital

- Always compare ratios to industry benchmarks or prior periods
- Very high Current Ratio may signal idle assets
- Low Debt-Equity Ratio = financial stability
- High Inventory Turnover = efficient stock management

DIAGRAMS & CHARTS · BREAK-EVEN ANALYSIS

Break-Even Analysis

The point where **total revenue = total costs** — neither profit nor loss is made.

Key Terms

Core Formulas

Worked Example

GIVEN DATA

STEP-BY-STEP SOLUTION

Assumptions: Selling price & variable cost per unit remain constant · Fixed costs unchanged · All units produced are sold

Exam Questions

Long, short, and practical — everything you need to ace your Financial Accounting exam.

Long Answer Questions (5–10 marks)

- Double-entry system with examples
- Accounting concepts & conventions
- SLM vs WDV depreciation
- Trading, P&L Account & Balance Sheet
- BEP assumptions & limitations
- Classification of errors & Suspense Account
- Liquidity & profitability ratios

Short Answer Questions (2–3 marks)

- Define accounting & its objectives
- Journal entries with examples
- Trial balance & its limitations
- Depreciation: causes & WDV advantage
- Current Ratio & Quick Ratio
- Going Concern Concept
- Suspense account & Margin of Safety

Practical Problems (must practice)

- Journal & adjusting entries
- Ledger posting & trial balance
- Trading, P&L & Balance Sheet
- Depreciation calculations (SLM & WDV)

High-Yield Topics

- Final accounts with adjustments
- Rectification of errors
- Working Capital & its significance

Exam Strategy

- Attempt all practicals — full marks available
- Show every step in calculations
- Learn key formulae & ideal ratio values

Quick tricks & memory hacks

RULES & MNEMONICS

Debit: Expenses · Assets · Drawings
Credit: Liabilities · Income · Capital

Journal = Diary (day-by-day entries)
Ledger = Filing Cabinet (by account)

Compensating · Omission · Principle · Error of Commission

Trading → Profit & Loss → Balance Sheet
Always in this sequence — never skip steps.

1. P&L Account (above or below the line)
2. Balance Sheet (asset or liability side)

FORMULAS & RATIOS

SLM = Equal slices every year
WDV = Shrinking slices (on reducing balance)

Contribution = Selling Price − Variable Cost
P/V Ratio = Contribution ÷ Sales × 100
BEP (units) = Fixed Costs ÷ Contribution per unit

Current Ratio 2:1 = Safe & liquid
Quick Ratio 1:1 = Minimum comfort zone
Debt-Equity 1:1 = Balanced leverage
↑ Turnover Ratios = Better efficiency

Doesn't balance? Check casting, posting, and carry-forward first.

Formula Sheet: One-Page Revision

All key accounting formulas at a glance — for rapid revision before your exam.

Category	Formula	Notes / Ideal
ACCOUNTING EQ.	Assets = Liabilities + Owner's Equity	Foundation of double-entry bookkeeping
DEPRECIATION	SLM: (Cost − Scrap Value) / Useful Life WDV: Book Value × Rate%	SLM = fixed amount; WDV = reducing balance
FINAL ACCOUNTS	Gross Profit = Net Sales − COGS Net Profit = GP + Other Income − Indirect Expenses Working Capital = Current Assets − Current Liabilities	Trading & P&L account key outputs
BREAK-EVEN	Contribution = Sales − Variable Costs P/V Ratio = (Contribution / Sales) × 100 BEP (units) = FC / Contribution per unit BEP (₹) = FC / P/V Ratio | MoS = Actual Sales − BEP Sales	Required Sales = (FC + Target Profit) / P/V Ratio MoS% = (MoS / Actual Sales) × 100
LIQUIDITY RATIOS	Current Ratio = Current Assets / Current Liabilities Quick Ratio = (CA − Stock − Prepaid) / CL	Current: Ideal 2:1 | Quick: Ideal 1:1
PROFITABILITY	GP Ratio = (GP / Net Sales) × 100 | NP Ratio = (NP / Net Sales) × 100 ROCE = (Net Profit / Capital Employed) × 100 ROE = (Net Profit / Shareholders' Equity) × 100	Higher % = better profitability performance
SOLVENCY RATIOS	Debt-Equity = Long-term Debt / Equity Interest Coverage = EBIT / Interest Expense	D/E Ideal: ≤ 1:1 | Higher ICR = safer
ACTIVITY RATIOS	Inventory Turnover = COGS / Avg. Inventory Debtors Turnover = Net Credit Sales / Avg. Debtors WC Turnover = Net Sales / Working Capital	Higher turnover = more efficient asset use